

Business Insights & Findings

Auto Loan Securitisation Risk Assessment

Project Overview

This project analyzes an Auto Loan Securitisation portfolio using Power BI. The dashboard provides insights into portfolio performance, credit risk, delinquency trends, expected credit losses, collection efficiency, recovery performance, vintage behavior, and investor reporting metrics.

The analysis helps stakeholders monitor asset quality, identify emerging risks, assess collection effectiveness, and evaluate portfolio profitability.

1. Executive Portfolio Insights

Key Findings

- The portfolio consists of **500 active loan accounts**.
- Total Portfolio Outstanding stands at approximately **₹317.79 Million**.
- Total Collections reached **₹224.31 Million**, indicating strong cash inflows.
- Collection Efficiency is **129.12%**, suggesting collections exceeded scheduled expectations during the reporting period.
- Default Rate remains relatively low at **1.80%**.
- Total Expected Credit Loss (ECL) is **₹11.66 Million**.

Business Interpretation

The overall portfolio demonstrates stable performance with healthy collections and manageable default levels. The low default rate indicates good borrower quality and effective risk management practices.

2. Credit Risk Insights

Key Findings

- Average CIBIL Score: **739**
- Average Loan-to-Value (LTV): **57%**
- Average Debt-to-Income Ratio (DTI): **19%**
- Average Interest Rate: **11.01%**

Business Interpretation

The borrower base is generally creditworthy with strong repayment capacity.

- High CIBIL scores indicate lower probability of default.
- Moderate LTV ratios reduce collateral risk.
- Low DTI levels suggest borrowers have sufficient income to service their loans.

This portfolio reflects a relatively conservative lending strategy.

3. Delinquency & Collections Insights

Key Findings

- Delinquent Loans: **275**
- Total Overdue Amount: **₹37.74 Million**
- Repossessions: **2**
- Write-Offs: **9**
- Cure Rate: **73%**

Business Interpretation

Most delinquent accounts successfully return to current status after collections efforts.

The cure rate of 73% indicates:

- Strong recovery and collections performance.
- Effective borrower engagement strategies.
- Limited migration into severe delinquency buckets.

However, continuous monitoring of overdue accounts remains necessary to prevent future defaults.

4. IFRS 9 Expected Credit Loss Insights

Key Findings

Stage	Exposure
Stage 1	₹272.93 Million
Stage 2	₹27.15 Million
Stage 3	₹17.70 Million

Total ECL Provision: **₹11.66 Million**

Business Interpretation

The majority of loans remain in Stage 1, indicating healthy asset quality.

Only a small proportion of exposure has migrated to Stage 2 and Stage 3 categories, suggesting:

- Limited credit deterioration.
- Controlled portfolio risk.
- Adequate provisioning under IFRS 9 requirements.

5. Collections & Recovery Insights

Key Findings

- Total Collections: ₹224.31 Million
- Recoveries: ₹4.43 Million
- Recovery Rate: 36%
- Net Loss remains controlled throughout the reporting period.

Business Interpretation

Collections operations are performing efficiently.

Strong recoveries reduce overall portfolio losses and improve investor confidence.

The portfolio demonstrates a healthy balance between collections, recoveries, and loss mitigation activities.

6. Vintage Analysis Insights

Key Findings

- Pool Factor declines steadily over time.
- Prepayments increase gradually as loans mature.
- Net Loss Rate remains relatively low at **0.13%**.
- Latest Pool Factor is **1.30%**.

Business Interpretation

Vintage analysis indicates predictable loan amortization behavior.

The declining Pool Factor confirms normal portfolio runoff, while the low Net Loss Rate suggests effective risk management and stable loan performance across vintages.

7. Investor Reporting Insights

Key Findings

Metric	Value
BOP Balance	₹6.19 Billion
EOP Balance	₹6.01 Billion
Gross Loss	₹12.22 Million
Recoveries	₹4.43 Million
Net Loss	₹7.78 Million
Avg CPR	9.33%
Avg SMM	0.82%
HHI	581.22
Collection Trigger	PASS

Business Interpretation

The portfolio satisfies key investor monitoring requirements.

- Collection triggers remain compliant.
- Portfolio concentration risk remains low based on HHI.
- Prepayment behavior remains stable.
- Net losses remain within acceptable limits.

These indicators support investor confidence in the securitised asset pool.

Overall Conclusion

The Auto Loan Securitisation portfolio demonstrates strong financial performance, healthy borrower quality, effective collections operations, and manageable credit risk levels.

Major strengths include:

- High collection efficiency
- Strong borrower credit quality
- Low default rate
- Stable vintage performance
- Adequate IFRS 9 provisioning
- Positive investor reporting indicators

The analysis suggests that the portfolio remains financially stable and capable of generating sustainable cash flows while maintaining acceptable risk levels.